A Place for Our Application

Most of our work takes place in the `app` directory. The main code for the application lives below the `app` directory, as shown in the figure. We'll talk more about the structure of the `app` directory as we look at the various Rails modules such as Active Record, Action Controller, and Action View in more detail later in the book.

A Place for Our Tests

As we've seen in *Iteration B2: Unit Testing of Models*, *Iteration C4: Functional Testing of Controllers*, and *Iteration G3: Testing Our JavaScript Functionality*, Rails has ample provisions for testing your application, and the `test` directory is the home for all testing-related activities, including fixtures that define data used by our tests.

A Place for Supporting Libraries

The `lib` directory holds application code that doesn't fit neatly into a model, view, or controller. For example, you may have written a library that creates PDF receipts that your store's customers can download. These receipts are sent directly from the controller to the browser (using the `send_data` method). The code that creates these PDF receipts will sit naturally in the `lib` directory.